century conquistadors found in America enabled European merchants to buy silk, porcelain and spices in East Asia, thereby moving the wheels of economic growth in both Europe and East Asia. Most of the gold and silver mined in Mexico and the Andes slipped through European fingers to find a welcome home in the purses of Chinese silk and porcelain manufacturers. What would have happened to the global economy if the Chinese hadn't suffered from the same 'disease of the heart' that afflicted Cortés and his companions – and had refused to accept payment in gold and silver?

Yet why should Chinese, Indians, Muslims and Spaniards – who belonged to very different cultures that failed to agree about much of anything – nevertheless share the belief in gold? Why didn't it happen that Spaniards believed in gold, while Muslims believed in barley, Indians in cowry shells, and Chinese in rolls of silk? Economists have a ready answer. Once trade connects two areas, the forces of supply and demand tend to equalise the prices of transportable goods. In order to understand why, consider a hypothetical case. Assume that when regular trade opened between India and the Mediterranean, Indians were uninterested in gold, so it was almost worthless. But in the Mediterranean, gold was a coveted status symbol, hence its value was high. What would happen next?

Merchants travelling between India and the Mediterranean would notice the difference in the value of gold. In order to make a profit, they would buy gold cheaply in India and sell it dearly in the Mediterranean. Consequently, the demand for gold in India would skyrocket, as would its value. At the same time the Mediterranean would experience an influx of gold, whose value would consequently drop. Within a short time the value of gold in India and the Mediterranean would be quite similar. The mere fact that Mediterranean people believed in gold would cause Indians to start believing in it as well. Even if Indians still had no real use for gold, the fact that Mediterranean people wanted it would be enough to make the Indians value it.

Similarly, the fact that another person believes in cowry shells, or dollars, or electronic data, is enough to strengthen our own belief in them, even if that person is otherwise hated, despised or ridiculed by us. Christians and Muslims who could not agree on religious beliefs could nevertheless agree on a monetary belief, because whereas religion asks us to believe in something, money asks us to believe that *other people believe in something*.